Operating Cycle in Working Capital

how long is cash stuck?

Financial Management

In simple words *Gross cycle: raw material bought to cash collected. Net cycle: gross cycle less the credit period we get from suppliers.*

1 Gross Operating Cycle

Time from acquiring raw material to realising cash from debtors. Gross cycle = R + W + F + D, with no deduction of creditors period.

2 Net Operating Cycle

Gross operating cycle less the creditors period (C). It is the time our own funds stay blocked in operations.

Also called the cash conversion cycle.

1. Stages: raw material stock, work-in-progress, finished goods, debtors.
2. Creditors period is deducted because supplier credit postpones our cash outflow.
3. A longer net cycle means more working capital is needed; a shorter one needs less.
4. Supplier credit reduces the net cycle and the working capital needed.



Swipe for the formula →

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THE CYCLE FORMULAS

Operating Cycle (Gross and Net)

add four, subtract one

Net operating cycle (days)

$$O = R + W + F + D - C$$

O = net operating cycle in days; R = raw material holding; W = WIP holding; F = finished goods holding; D = debtors period; C = creditors period.

Holding period of each item (days)

$$\text{DAYS} = \frac{\text{Average stock or balance}}{\text{Annual consumption, cost or sales}} \times 360 \text{ (or } 365\text{)}$$

Use days in year as the question states. R: raw material consumed; W: cost of production; F: cost of goods sold; D: credit sales (cost if told); C: credit purchases. Stock never uses sales.

SAME AS BALANCE ÷ DAILY FIGURE! Dividing the average balance by the per-day figure gives days directly; do not multiply by days in year again.

Swipe for a memory trick ⟶

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STUDY TRICK

Operating Cycle (Gross and Net)

four plus, one minus

RWFD MINUS C

R, W, F and D are added. C (Creditors) is deducted because supplier credit postpones our cash outflow.

HOW TO ATTEMPT IT

1 Find each item's average balance → 2 Pick the correct base for each item → 3 Compute days: R, W, F, D, C → 4 Net cycle = R + W + F + D − C → 5 WC = cost per day × net cycle days

EXAM TIP

Debtors are taken at cost by default; use sales value only if the question says so. Check if depreciation is excluded.

DOUBT BUSTER

Why is the creditors period deducted? Suppliers finance part of the cycle, so our cash goes out later. This reduces the net cycle and the working capital needed.

Swipe for common mistakes →

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COMMON MISTAKES

Operating Cycle (Gross and Net)

small slips, big marks

✗ Multiplying (balance ÷ daily figure) again by 365

✓ Average balance ÷ daily figure already gives days; use ÷ annual figure × days only when the base is annual.

✗ Adding creditors period with R, W, F, D

✓ Deduct creditors period to get the net operating cycle.

✗ Using sales as the base for stock days

✓ Stock days use consumption, cost of production or cost of sales, not sales.

TOMORROW'S CA INTER MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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